

Inflation, Deflation

Inflation - (मंहगाई)

- जब Goods & service के Price increases beyond the limit, called Inflation.

causes - i) Demand pushed

- Economy में Money supply (↑)
then Inflation (↑)

ii) Production cost pushed

- when production cost (↑)
because of Disaster, War,
less availability of Raw material,
Gov. tax increase. Then
Inflation (↑)

Types - i) % Inflation Rate

- a) creeping inflation = when goods & service Price increase upto 0-3% ^(Beneficial)
- b) walking inflation = price increases upto 3-10%
- c) Running inflation = price increases upto 10-20%
- d) Hyper inflation = price increases upto 50% +.

2) Stagflation

Economy में { Inflation है
Recession है (मंदी)
Unemployment है

3) Suppressed inflation

- when Gov. Good & service के Price को control में रखे।

Open inflation

- In Economy Goods & services price increases in open form

4) Shrinkflation

- This is the types of inflation where price not increases, but the ^{quantity} ~~quality~~ of a Goods decreases.

5) Skimpflation

- price not increases, but the quality decreases.

Inflation Effect

(+ve. benefit)

- farmers
- Producers
 - Traders
 - manufacturers
 - factory owners
- Debtors/Borrowers

(-ve. benefit)

- constant Income Group
 - pensioners
 - labour
- creditors

control - RBI, Government
(main role)

- RBI - monetary policy

when supply(↓) & Demand(↑) in market.

Int. Rate(↑) (Hard money policy)

Interest rate

Ex - Repo rate (Bank → RBI से short term)

Bank rate (Bank → RBI से long term loan)

Reverse Repo rate (RBI → Banks से loan)

CRR (Cash Reserve Ratio) - Bank → RBI से पास security deposit रखते हैं।

SLR (Statutory Liquidity Ratio) - Bank अपने पास security form में रखते हैं।

Measurement

i) whole sale price Index - (WPI)

↳ Goods only service x

measures - commerce & Industry ministry.

measures - NSO - Nation statistics office

ii) (CPI) Consumer Price Index

AW - Agriculture workers

RW - Rural workers

IW - Industrial workers

CPI urban & Rural.

Goods & Service both

consumer के लिए Price ↑

→ Deflation

- where Goods & services Price (↓).

Deflation

- जब goods & services के price कम हो रहे हों एक limit के अंदर।

Reason

- When Demand decreases.

Disinflation

- Condition जब inflation को control करने के लिए efforts लगाने हैं. and finally Price Increasing कम हो जाता है।

Reflation

- जब Deflation को control करने के लिए efforts लगाने हैं and finally price increases.

• Stagflation :-

जहाँ Economy में Recession / unemployment / Inflation हो

• Galloping Inflation :-

• जो बहुत ही uncontroll हो जाये almost 100% बढ़ जाये।

• Skimflation :-

The Price will be same, the quantity is inferior.

• छुटी छुटे महंगे महंगे

Ex -

Cheap oil in the hotel.

• Shrinkflation :-

• The same price quantity is less

GDP deflator

• Tells the Price level in the entire economy

~~तैयार~~

- Ratio of ~~Real GDP~~ nominal GDP to Real GDP.
- Import Not Included.

Core Inflation

- It is measured after removing food and fuel helpful in long term inflation understanding

Effect of Inflation

Benefit (+ve)

- Farmer
- Production house
- Flexible income group
- Borrower.
-

Loss (-ve)

- constant income group
- Pensioner
- Labour
- BPL, middle class
- Lenders.